The policy had its genesis in Ratan's deep conviction that the staff should be groomed for leadership roles, a point that he made frequently during AGMs.

Slightly more than half a decade after Ratan took over TISCO, the steel maker began gaining recognition for its transformation into a modern company. It bagged the prime minister's trophy for the best performing steel plant for the year 1998–99. In 2000, it became the first company in the Tata Group to win the JRD QV Award. It was the culmination of a stupendous journey. The company had improved its marks over 200 per cent from 1996 to secure the mandated 600 points to lift the trophy. Within a year of the award, in 2001, TISCO was ranked first among twelve of the world's top steel firms by World Steel Dynamics, a leading US 'strategic information service' provider. It beat the likes of Arcelor (Europe), POSCO (South Korea) and Nippon Steel (Japan) to net the coveted recognition.

While the company started earning accolades, Ratan looked at other policies that could further enhance the range of the steel maker's offerings, as he was convinced that with the existing menu, it would be unable to sustain growth in the long term. Diversifying into allied areas was an adjunct strategy that he evolved as a part of this goal. He looked at a 'ferrochrome unit in Australia with an investment of $50 million'. He clarified that TISCO had invested 'thousands of crores' on the modernization, but that he was not entirely sure if that would give a return that would be equal to the cost of capital. Under these circumstances, he said that he would aim to secure 'shareholder value' by looking at other businesses.

In 1999 he told a business magazine: 'We need to recognise that the steel business is very capital intensive, the return on capital is going to be low, and we will need to do one of two things: either accept that position, in which case the ability of TISCO to generate capital to grow will be restricted, or look at new business lines in which capital has to be invested and TISCO does not grow in the steel industry but grows in some other business.'

He announced that he was inclined to explore a 'related business or even a totally different business' that would 'have much higher returns than steel' as that would ultimately help him 'justify the investment in steel'. As part of this plan, Ratan underlined the need for upgrading the facilities to start manufacturing special steel for automobiles. As this technology was not